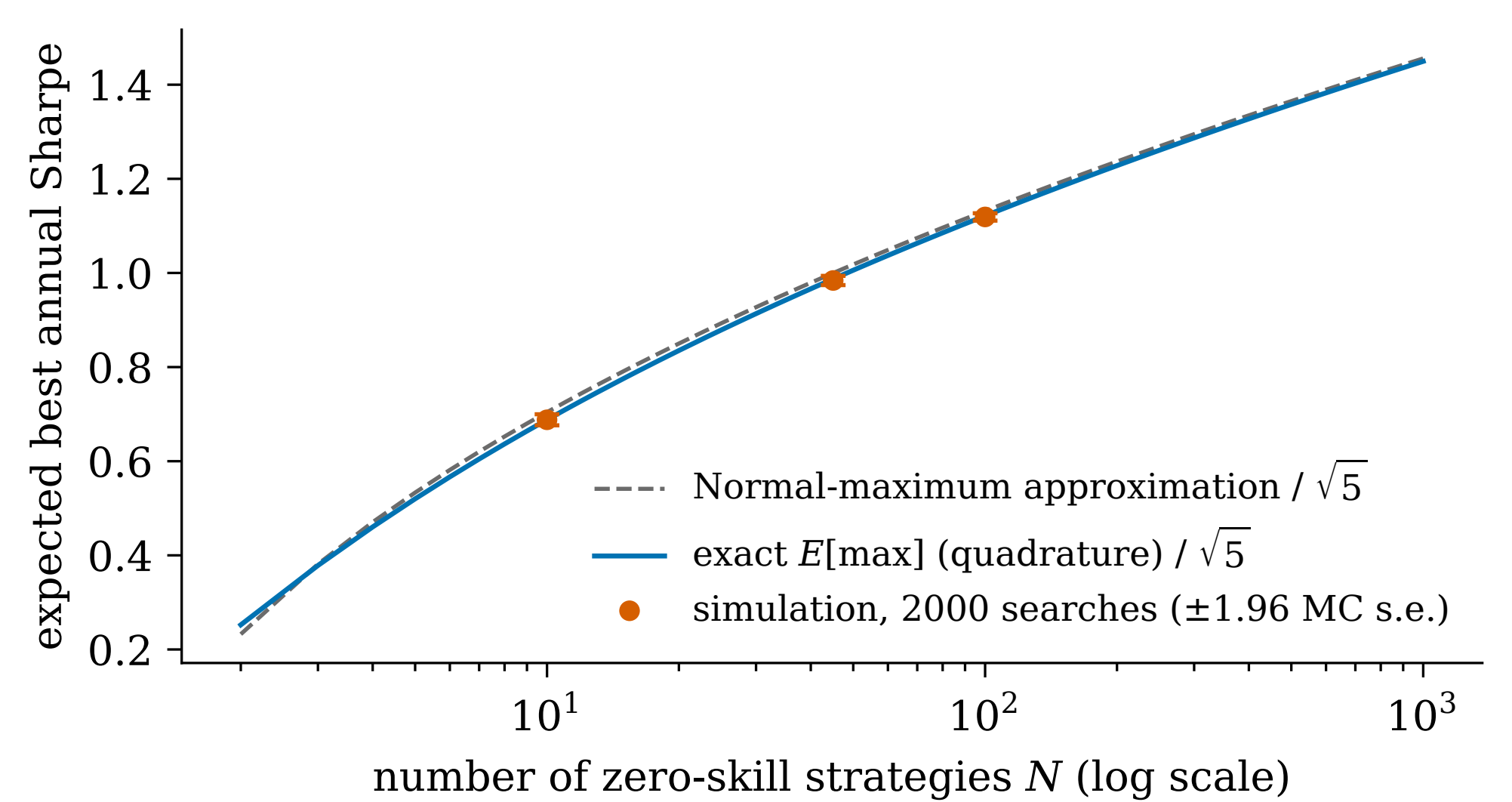
expected best annual Sharpe
1.4
1.2
1.0
0.8
0.6
0.4
0.2
10^1
10^2
10^3
number of zero-skill strategies N (log scale)
Normal-maximum approximation / $\sqrt{5}$
exact E[max] (quadrature) / $\sqrt{5}$
simulation, 2000 searches (±1.96 MC s.e.)